

**JUSTIFICATION for an EXCEPTION to FAIR OPPORTUNITY for the placement
Of an order > Micro Purchase Threshold under a Multiple Award Contract (MAC)**

Upon the basis of the following justification, I, the assigned Contracting Officer of Southwest Regional Maintenance Center, hereby approve the Justification for an Exception to Fair Opportunity Pursuant to FAR 16.505(b)(2).

JUSTIFICATION

1. Agency and Contracting Activity. Department of the Navy, Southwest Regional Maintenance Center.

2. Nature/Description of Action. This a fair opportunity exception to place an order with prospective Multiple Award Contract (MAC) holder under LCS BIG MAC number N00024-21-D-4444 (Epsilon)The Delivery Order Number is N5523625F8489 for the USS KANSAS CITY (LCS-22) FY25 CONTINUOUS MAINTENANCE AVAILABILITY (CMAV) S002; SSP: TPPC-LCS22-SWRMC25-S002.

3. Description of Supplies/Services. Work Item: 311-24-003 RCC 16N has been created to water wash The Number (4) Four Ship Service Diesel Generator (SSDG). The estimated value of this work [REDACTED] based on the Independent Government Estimate (IGE) from the SWRMC Project Manager. Funding will be FY25 D8 in support of the Category 3 Casualty Report (CAT3 CASREP). The availability schedule is [REDACTED] The Government's minimum needs have been verified by the certifying technical and requirements personnel.

4. Identification of the Exception to Fair Opportunity. (FAR 16.505 (b)(2)(i)(C))

Identification/Justification for Exception:

- ☐ a. The agency need for services is of such urgency that providing fair opportunity would result in unacceptable delays.
- ☐ b. Only one such awardee is capable of providing such services required at the level of quality required because the services ordered are unique or highly specialized.
- ☒ c. The order must be issued on a sole-source basis in the interest of economy and efficiency as a logical follow-on to an order already issued under the MAC, provided that all the awardees were given fair opportunity to be considered for the original order.

Work Item 311-24-003 (RCC 16N) has been issued to accomplish a water wash to the No. 4 SSDG. During the accomplishment of the scheduled INSURV availability, signs of sea water intrusion were found in the Generator windings.

The Number 4 SSDG is now contaminated with salt water and must be cleaned immediately to prevent further damage to the equipment. The SSDGs provide the power needed to start the Gas turbines and run many other systems on board, therefore proper operation of the No. 4 SSDG is mission critical to the ship and has resulted in a Category 3 Casualty Report (CAT3 CASREP). This work item could not have been identified earlier as the contamination and sea water intrusion was discovered after award of the current contract. The USS KANSAS CITY (LCS-22) is required to be fully operational to support scheduled underway periods and is currently at redlines which resulted in the C3 CASREP. RCC 16N needs to be worked in conjunction with RCC 13N for the accomplishment of repairs to the

generator to ensure that the Number 4 SSDG is cleared of all salt water for full operational readiness. Given the considerations above, the Port Engineer is requesting that the new work item be issued on a sole-source basis in the interest of economy and efficiency as adding a new contractor on board and under a separate contract would interfere with work already being completed and would result in a duplication of costs. Specifically, [REDACTED] would be incurred in duplication costs for temporary service support.

- ☐ d. It is necessary to place an order to satisfy a minimum guarantee.
- ☐ e. For orders exceeding the simplified acquisition threshold, a statute expressly authorizes or requires that the purchase be made from a specified source.

5. Determination of Fair and Reasonable Cost.

A thorough review and analysis, with regard to price and scope, of the pricing information provided by Epsilon will be conducted by the Project Team (PT) and verified by the Contracting Officer. Determination of fair and reasonable costs will primarily be accomplished by use of parametric methods used to determine reasonableness of labor hours, materials, and times proposed by Epsilon, in accordance with FAR 15.404-1(b)(2)(iii). Furthermore, application of rough yardsticks will be utilized for significant inconsistencies that warrant additional pricing inquiries in addition to review of any historical pricing information for Epsilon that is available, as well as similar work accomplished by other contractors. This analysis will be accomplished in conjunction with comparison of all proposed labor hours and material by the PT with verification by the Contracting Officer.

The Contracting Officer has determined that to the Government for this Acquisition will be fair and reasonable based on FAR 15.404-1(e)(1), technical analysis from the PM, FAR 15.404-1(b)(2)(i) – comparison of proposed prices of labor and material burden rates received in response to the solicitation, and FAR 15.404-1(b)(2)(v), comparison with the IGE.

6. Description of Efforts Made to Solicit Offers From as Many Offerors as Practicable:

All offerors under the LCS BIG MAC were given fair opportunity to submit a proposal in response to the solicitation of the availability basic work package. As this is new work there would be unrealistic contractual expectations to overcome barriers that have led to this exception. Furthermore, if the work is not performed during this window of availability, the USS KANSAS CITY will not fulfill its current operational obligations and would thus incur mission risk to the Government.

7. Actions Taken to Remove or Overcome Barriers that Led to the Exception to Fair Opportunity:

As noted above, this work item could not have been identified earlier due to the sea water intrusion and salt deposits being discovered during INSURV checks that occurred after award of the CMAV. Once identified, continued operation of the Number 4 SSDG with the salt deposits would cause further damage to the Generator. While standard procedures would follow the typical solicitation process providing fair opportunity to the LCS BIG MAC IDIQ contract holders, it is in the Government's best interest to incorporate this critical maintenance work in order to meet and support the USS KANSAS CITY operational readiness. This is an atypical event and could not be planned or forecasted, accordingly, the ACO determined that this course of action is the most prudent way forward in this unique instance.

TECHNICAL AND REQUIREMENTS CERTIFICATION (FAR 16.505(b)(2))

I certify that the facts and representations under my cognizance, which are included in this Justification and which form a basis for this justification are complete and accurate.

Technical Cognizance/or COR:

Signature: _____

Date: 2025.03.17 10:37:00 -07'00'

Jonathan Muro/Project Manager 320.1/ 619-708-7152 /17March2025

Printed/Typed Name and Title Code Phone Date

LEGAL REVIEW (SWRMCINST 5430.1B): (>\$250,000)

Signature: _____

Printed/Typed Name and Title Code Phone Date

APPROVAL:**CONTRACTING OFFICER CERTIFICATION (FAR 16.505(b)(2)): (>\$3,500 to ≤\$700K)**

I certify that this justification is accurate and complete to the best of my knowledge and belief.

Signature: _____

Date: 2025.03.17 11:18:13 -07'00'

Printed/Typed Name and Title Code Phone Date

REVIEW:**2.0 BRANCH HEAD (FAR 16.505(b)(2)): (>\$700K)**

Signature: _____ N/A

Printed/Typed Name and Title Code Phone Date

APPROVAL:**COMPETITION ADVOCATE (FAR 16.505(b)(2)) (>\$700K to \$13.5M):**

Signature: _____ N/A

Printed/Typed Name and Title Code Phone Date

APPROVAL:**HEAD OF THE CONTRACTING ACTIVITY (FAR 16.505(b)(2)) (>\$13.5M to \$93M):**

Signature: _____ N/A

Printed/Typed Name and Title Code Phone Date